

Meta Platforms Q1 2026 Earnings Transcript

Blind Sentiment & Directional Score

David Eji

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Meta Platforms, Inc. (META)
Report	Q1 2026
Release date	Wednesday 29 April 2026, after close
Earnings call	5:30pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 29 April 2026
Read mode	transcript and news only
Time to produce	46 minutes

Source material (read this first)

Headline financials

- Revenue \$56.3B, up 33% year over year. Operating margin 41%.
- Net income \$26.8B (\$10.44 EPS) including an \$8.03B tax benefit. Excluding it, \$18.7B (\$7.31 EPS).
- Family of Apps ad revenue \$55.0B, up 33%. Reality Labs \$402M, down 2%.

Forward guide

- Q2 2026 revenue guided to \$58B to \$61B.

- 2026 capex raised again, to \$125B to \$145B from \$120B to \$135B. Expenses unchanged at \$162B to \$169B.
- Multiyear infrastructure commitments grew by \$107B in the quarter alone.

Hedges and concerns

- Legal and regulatory headwinds in the EU and US could significantly impact results.
- Higher component costs, especially memory, are driving the capex increases.
- A sequential dip in daily active people from Iran internet disruptions and Russia WhatsApp restrictions.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- The stock came in roughly 29% below its highs, weighed down by the AI capex debate that had dominated since October.
- The pattern investors feared was well known by now: each quarter Meta had raised its spending plans, and each raise had been punished.
- Ad revenue expectations were for a strong quarter. The open question was whether management would lift the 2026 capex range yet again.

FOMC backdrop (point-in-time, Fed event-study linkage)

Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.

- **Latest statement:** 29 April 2026 – hold at 3.50–3.75%. Released 2pm ET the same day as this print, ahead of the after-close release.
- **Stance read:** Hawkish hold: fresh inflationary pressures muddying the outlook for further easing.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

Candidate evidence quotes

1. “We are already training even more advanced models” – Zuckerberg, prepared remarks.
2. “Capital expenditures ... were \$19.8 billion, driven by investments in servers, data centers” – Li, prepared remarks.
3. “Small groups and teams can make very rapid progress” – Zuckerberg, Q&A.
4. “We have continued to underestimate our compute needs even as we have been ramping” – Li, Q&A.

Your scoring – fill in below, then seal

1 Sentiment score

Score: +0.70

Rationale. A strong quarter, revenue up 33% with engagement holding and an EPS beat, and the raised capex funds visible AI demand rather than a vanity build. The core ad engine keeps compounding.

2 Directional signal

Signal: BUY

Rationale. Ad strength plus large but demand-backed AI investment is the combination the market eventually rewards. BUY.

3 Structured summary

- **Advertising and engagement.** Excellent, up 33% with engagement holding.
- **AI and capex.** Raised again, the exact move the market has been punishing.
- **Margins and one-offs.** The tax benefit flattens EPS and is worth stripping out.
- **Forward guide.** Solid on revenue, but spending is the story.

4 Evidence quotes

1. “We have continued to underestimate our compute needs even as we have been ramping” – Li, Q&A (capex).
2. “Capital expenditures ... were \$19.8 billion, driven by investments in servers, data centers” – Li, prepared remarks (spend).
3. “We are already training even more advanced models” – Zuckerberg, prepared remarks (AI ambition).

— SEALED —

Overnight move and call verification

META close, 29 April 2026 (release day)	\$669.12
META open, 30 April 2026	\$619.32
Overnight move (release close → next open)	−7.44%

Call verification

- HOLD band test: $|-7.44\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **BUY**. The correct call was **SELL**, so the call was **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	− 7.44%
D+1 close	−8.55%
D+3 close	−8.77%
D+5 close	−8.41%
D+10 close	−7.84%
D+20 close	−5.06%